

OPPORTUNE TIME TO CONSOLIDATE RELATIONS



TALKW

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Japan's Ambassador to India, Mr. Hideaki Domichi, outlines the roadmap of Japan-India relations, especially in view of Prime Minister Manmohan Singh's forthcoming visit, in an interview with **Veeshal Bakshi**

■ **What are expectations from the visit of Prime Minister Manmohan Singh to Japan?**

Prime Minister Dr. Manmohan Singh would be warmly welcomed in Japan. Both Prime Ministers have known with each other very well, and this is the opportune time for them to consolidate and elevate our bilateral relationship to a new height in line with the "Roadmap for New Dimensions to the Strategic and Global Partnership" that has been initiated and committed during the mutual visits of the Prime Ministers in the past few years.

Also, as this time of international financial crisis, it is expected that both leaders would exchange views how to tackle the problem as countries that have considerable weight in the world economy.

■ **What initiatives is the Japanese Government taking to strengthen bilateral and economic relations between Japan and India?**

Japan is currently engaged in negotiating an Economic Partnership Agreement (EPA) with India. In addition to this, we are also discussing with the Indian Government ways through which we can cooperate on major infrastructure projects. We hope that the Dedicated Freight Corridor project and the Delhi-Mumbai Industrial Corridor project, which are presently under discussion, will have a major impact towards boosting Japan-India relations further.

■ **What has been the progress so far in the Economic Partnership Agreements negotiations? What benefits will EPA provide to the two countries?**

The EPA will help in combining not only the two big economies of Japan and India, but would also have impact on the Asian region as a whole. India and

Japan are still engaged in the negotiation bearing in mind the significance of EPA for the two countries. The two countries are making serious efforts toward the upcoming visit of Prime Minister Singh to Japan. We are confident that we will be able to produce significant outcome of the negotiation.

■ **Economic and trade relations between Japan and India are growing rapidly but the two countries would need greater interaction between the people to take relations to a higher level. What steps are being taken to increase social and cultural relations?**

People-to-people contact is one of the main pillars on which the relationship between our two countries rests. In order to further intensify interaction in this sphere, the Japanese government has introduced a number of initiatives, such as the 'Japan-East Asia Network of Exchange for Students and Youths' (JENESYS) Programme, under which about 550 Indian youth are being invited to visit Japan annually over a period of 5 years, beginning December 2007. In addition, Japan is cooperating with India towards realizing the target of 30,000 Japanese language learners in India by the year 2010, by providing training to Japanese language teachers in India. Other initiatives include the first-ever Japan-India Dialogue of Vice-chancellors/Presidents on Academic Exchange among leading higher educational institutions of both countries, held during Prime Minister Abe's visit last year. As is widely known, the year 2007 was designated as the "Japan-India Friendship Year" during which nearly 500 cultural events were held in both Japan and India to introduce each other's cultural heritage to the people of both countries. Besides this, the year 2007 was also named as the "Japan-India Tourism Exchange Year", with Japan and India reaffirming their willingness to promote bilateral tourism initiatives, including the target of increasing the number of visitors between the two countries to 300,000 by the year 2010 and to 500,000 by the year 2015.

■ **What economic policy changes would Japanese investors like to see to increase foreign direct investment (FDI) into India?**

Japanese FDI into India is on the upswing. In 2007, Japanese direct investment into India tripled compared to the previous year. Generally, I think we have so far obtained good cooperation both from the central and state governments. But I sometimes hear some complicated issues regarding SEZ (special economic zone) or inadequacy of infrastructure. We would also like to see the policy of liberalization of the Indian economy, which started in the early 1990s, to be continued and further accelerated including easing FDI cap for some service sectors like insurance.

■ **You stated in your message soon after taking over as Ambassador that you will strive to take Japan-India trade/investment and people-to-people relations to the level of Japan-China relations. How do you plan to achieve that?**

The rapid growth of the Indian economy, coupled with economic development in China and ASEAN countries, has drastically changed the regional map in Asia. I believe that the relations among major Asian economies will become even closer. Among such major economies, Japan and India have the greatest potential to develop their ties. I am confident that we can accelerate the development of our bilateral relations at the pace comparable to or even faster than that of Japan-China relations. The trade and investment between the two countries are expanding rapidly and this trend will be surely maintained. These economic ties are the driving force of Japan-India relations. People-to-people exchange is the area to which we need to make steady efforts, including its institutional arrangements. I would like to strengthen the framework of our political dialogue as well.